IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-V

C.P.(CAA)/29/(PB)2022
IN
C.A.(CAA)/01/(PB)2022

(Under Section 230-232 of the Companies Act, 2013 read with read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016*)*

In the Matter of Scheme of Arrangement of:

1. **M/s. CHANDRA LAXMI HOSPITAL PVT LTD**,
   Registered Office: 59, Ashirwad Apartment,
   Plot No. 74, I P Extension, Patparganj,
   Delhi-110 092

…..Petitioner Company No. 1/Demerged Company

AND

2. **M/s. CHANDRA LAXMI HEALTH SECURE PVT LTD,**
   Registered Office: 59, Ashirwad Apartment,
   Plot No. 74, I P Extension, Patparganj,
   Delhi-110 092

…..Petitioner Company No. 2/Resulting Company

CORAM:

SHRI. P.S.N. PRASAD, Hon'ble Member (Judicial)

SHRI.RAHUL BHATNAGAR, Hon'ble Member (Technical)

Counsel for Petitioner/Applicant:	**Mr. Katikeya Goel, Adv.**
Counsel for RD	Ms. Shankari Mishra, Advocate.

Order Delivered on: 15.02.2023

ORDER

PER: SH. P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

1. This petition has been jointly filed by M/s. Chandra Laxmi Hospital Pvt Ltd (Petitioner No.1 Company / Demerged Company) and M/s. Chandra Laxmi Health Secure Pvt Ltd (Petitioner No.2 Company/ Resulting Company) under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the proposed Scheme of Arrangement which provides for the De-merger of Indira Puram Hospital- 'Chandra Laxmi Health Care' of Chandra Laxmi Hospital Pvt Ltd into Chandra Laxmi Health Secure Pvt Ltd. The copy of the Scheme of Arrangement is placed on record.

2. M/s. Chandra Laxmi Hospital Private Limited (Petitioner No.1 Company / Demerged Company) bearing CIN: U85110DL2003PTC120752 is a company incorporated under Companies Act, 1956 on 05.06.2003 presently having its registered office situated at 59, Ashirwad Apartment, Plot No. 74, I P Extension, Patparganj,Delhi-110 092. The registered office of the Demerged Company is under the jurisdiction of this Tribunal.

3. M/s. Chandra Laxmi Health Secure Private Limited (Petitioner No.2 Company / Resulting Company) bearing CIN: U851100DL2021PTC383789 is a company incorporated under Companies Act, 1956 on 16.07.2021 presently having its registered office situated at 59, Ashirwad Apartment, Plot No. 74, I P Extension, Patparganj,Delhi-110 092. The registered office of the Resulting Company is under the jurisdiction of this Tribunal.

4. The rationale of the proposed Scheme of Arrangement is elaborately described in the present Company Petition which may be summarized as under:

i. The Demerged Company and the Resulting Company are family owned closely held private limited Group Companies under common shareholding, management and control.

ii. Presently, the Demerged Company is engaged in providing medical, healthcare and diagnostic services and other related activities. The Demerged Company is running a Multi-Specialty Hospital and Diagnostic Centre- 'Chandra Laxmi Hospital' and 'CLH Diagnostics', respectively, at Plot No. 336 to 338 & 340, Kali Mandir, Yashoda Marg, Sector-4, Vaishali, Ghaziabad. The Company has set up another Hospital- 'Chandra Laxmi Health Care' at NH-3, Begam Hazart Mahal Road, Gyan Khand-1, Indira Puram, Ghaziabad. Thus, the Demerged Company- Chandra Laxmi Hospital Pvt Ltd has two independent hospitals- 'Chandra Laxmi Hospital' at Vaishali and 'Chandra Laxmi Health Care' at Indira Puram.

iii. To have better control and administrative convenience, it is proposed to de-merge 'Chandra Laxmi Health Care' at Indira Puram [Indira Puram Hospital/Demerged Business] of the Demerged Company into a separate company-the Resulting Company.

iv. The proposed de-merger will enable the Demerged Company and the Resulting Company to raise necessary funds, invite strategic investors and other stakeholders for their respective businesses.

v. Further it is submitted that it will impart better management focus, will facilitate administrative convenience and will ensure optimum utilization of various resources by these Companies.

vi. The proposed de-merger will provide scope for independent expansion of various businesses. It will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business.

vii. The proposed De-merger will have beneficial impact on the Demerged Company and the Resulting Company, their employees, shareholders and other stakeholders and all concerned.

viii. With a view to achieve greater management focus and keeping in mind the paramount and overall interest of the shareholders, the Board of Directors of the Demerged Company and the Resulting Company considered that a Scheme of Arrangement for De-merger would be the most appropriate methodology.

ix. The appointed date as fixed for the proposed scheme of Arrangement is 01st October, 2021 or such other date as may be directed by the Hon'ble National Company Law Tribunal.

5. The Board of Directors of the Demerged Company and the Resulting Company have determined the share exchange ratio as under:

> "The Resulting Company-Chandra Laxmi Health Secure Pvt Ltd will issue 1 (one) Equity Share of ₹10 each, credited as fully paid up, to the shareholders of the Demerged Company for every 10 (ten) Equity Shares of ₹10 each held in the Demerged Company-Chandra Laxmi Hospital Pvt Ltd."

Any fraction arising out of the aforesaid exchange process, if any, will be rounded off to nearest whole number.

6. The Petitioner Companies have also annexed the valuation report dated 9th November, 2021 given by Mr Sandeep Kumar Agrawal, a Chartered Accountant and the Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide Registration No. IBBI/RV/06/2019/10705 in relation to the share exchange ratio.

7. A perusal of the petition discloses that the first motion application bearing CA(CAA)/01/PB/2020 was filed by the Petitioner Company. Based on the averments made in the said application the Tribunal vide order dated 18.02.2022, had dispensed with the requirement to convene the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the both the Petitioner Companies.

8. The Petitioner Companies filed the Second Motion Petition being Company Petition No. (CAA) 29 (PB) of 2022 on 24th February, 2022. This Tribunal vide its Order dated 11th May, 2022 directed the Petitioner Companies to serve notices of the Petition upon the Regional Director (Northern Region), Registrar of Companies, New Delhi, Income-Tax Authority and other Sectoral Regulatory Authorities for filing their representation and also directed to effect the paper

publication in in “Business Standard” (English, Delhi Edition) and “Business Standard” (Hindi, Delhi Edition).

9. The Petitioner Companies in compliance of this Tribunal order dated 11.05.2022, had filed Affidavit of service and publication dated 9th June, 2022, confirming that notices have been duly published in “Business Standard” (English, Delhi Edition) and “Business Standard” (Hindi, Delhi Edition) on 31.05.2022 having circulation in New Delhi. Further, the Petitioner Companies have duly served notices to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, New Delhi; (c) the Income-Tax Departments having jurisdiction over the Petitioner Companies

10. In response to the notice issued, the Regional Director had filed its representation on 15.09.2022, wherein at para 10 of the affidavit certain observations were required from the Petitioner Companies. The Petitioner Companies vide reply dated 26.09.2022 had provided clarifications to the observations of the RD. The observations and clarifications is tabulated hereunder:-

S.No.	**Observations of the Regional Director in affidavit dated 15.09.2022**	**Clarification by the Petitione Companies vide reply date 26.09.2022**
10(i)	On perusal of the Registered Valuer report it is seen that no formal share valuation exercise has been done in this matter. The share valuation proposed by the management has been simply agreed upon by the Valuer.	With regard to the proposed Exchange Ratio, we wish to clarify and confirm that, post-Scheme all the Equity Shareholders of the Demerged Company will hold same percentage of Equity Shares in the Resultant Company as they are holding in the Demerged Company. Since both the Companies will have mirror Equity Shareholding, there is no need to obtain a share valuation report. However, the Registered

		Valuer has given a Valuation Report after taking into all the relevant into consideration. It may be noted that post-Scheme both the Demerged Company and the Resulting Company will have same set of Equity Shareholders with the same proportion of Equity Shareholding in both the Companies. Since both the Companies will have mirror Equity Shareholding, there is no need to obtain a share valuation report. It may be further noted that the both the Demerged Company and the Resulting Company are family owned closely held private limited Group Companies under the common shareholding, management and control. General Public is not interested in the proposed Share Exchange Ratio.
10(ii)	As per the clause 1.8, it has been provided that the scheme shall be effective form the effective date. However, as per the provision of section 232(6) the scheme shall clearly indicate an appointed date from which it shall be effective, and the scheme shall be deemed to be effective from such date and not a date subsequent to the appointment date, the same needs to modified in the scheme.	With regard to the effective date provided in the Scheme, we wish to clarify and confirm that in the Scheme of Arrangement, there are two dates, viz., Effective Date and Appointed Date. The Scheme is effective only when the Scheme is approved by the Competent Authority (NCLT or RD) and approval Order is filed with the ROC along with e-form INC-28. Once the Scheme is effective, It comes into operation from the Appointed Date.

		Section 232(6) of the Companies Act, 2013, provides for the same. The present Scheme of Arrangement also provides the same.
10(iii)	The scheme proposes Issuance of redeemable preference share by the Resulting Company. However, on perusal of Un-audited Financial Statement as at 30.09.2021 of the Resulting Company, it is seen that the entire share capital of the Resulting Company consists of equity shares only. In such a situation it would not be possible to issue preference shares without alteration of authorized share capital as per section 61 of the Companies Act, 2013.	It can be observed from the above that the Scheme clearly provides that the provisions of this Scheme shall be applicable and come Into operation from the Appointed Date. We, accordingly, confirm that the present Scheme of Arrangement is in compliance with the provisions of Section 232(6) of the Companies Act, 2013. With regard to the authorised share capital of the Resulting Company, we wish to clarify and confirm that in terms of Clause 5.4 of the Scheme of Arrangement, the Resulting Company, will Increase/modify its Authorized Share Capital to implement the terms of this Scheme, to the extent necessary.

11. The Regional Director in its affidavit submitted that, "On examination of the scheme along with the reply submitted by the Petitioner Companies, it appears that the Scheme of Arrangement has been drawn in line with the requirements of section 230-232 of the Act."

12. In response to the above stated notice, the Income Tax Department has furnished its comments/report in respect of the Petitioner Demerged Company to this

Tribunal. The Income Tax Department has submitted that there are no Income Tax Dues/Demands in the Demerged Company. The Income Tax Department , despite repeated opportunities have not submitted report with respect to Resulting Company. The Petitioner Companies had placed on record undertaking along with the Certificate from Chartered Accountant confirming that there are no Income Tax Dues/ Demands in Resulting Company.

13. Considering the reply of the Petitioner Companies to the observations of the Regional Director and further, the undertakings of the Petitioner Companies with respect to the Income Tax Dues of the Petitioner Companies and the payment of all the income tax dues, we find no legal impediment in approving the present scheme of arrangement.

14. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies. The Petitioner Companies have stated that the accounting treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the Auditors of the Petitioner Companies.

15. The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

16. It has also been affirmed in the petition that the Scheme is in the interest of both the Demerged Company and the Resulting Company, including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the

Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

17. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

(iv) The appointment date as proposed in the Scheme of Arrangement i.e., April 01, 2021 by the petitioner company is confirmed by this Tribunal.

18. This Tribunal do further order: -

1. That all properties, rights and powers of Demerged Undertaking be transferred without further act or deed to the Resulting Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act,2 013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged Undertaking subject nevertheless to all changes now affecting the same; and
2. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged Undertaking shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the

Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

3. That all proceedings now pending by or against the Demerged Undertaking shall be continued by or against the Resulting Company; and
4. That the Petitioner Company, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged Undertaking shall be deemed to be transferred; and
5. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

19. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(RAHUL BHATNAGAR)
MEMBER (TECHNICAL)

Sd/-
(P.S.N. PRASAD)
MEMBER (JUDICIAL)